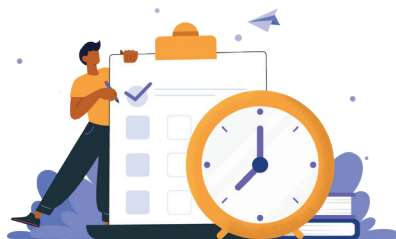


Compare standard days of processing in the industry with the actual

We must compare the on-ground processing time with the presented data. You can countercheck this with other similar companies or ask stakeholders involved in the process.

How much time is it taking to get raw material delivered?

There are certain industries that have a really long wait time to get the raw materials. With other industries, the supply of raw materials may be seasonal. For such companies and industries, it is a must that they keep high raw materials on their books for long periods of time.



Here are some key takeaways from this inventory analysis:

- ◇ The DSI is increasing due to an increase in raw material stacking
- ◇ Fortunately, the inventory doesn't become obsolete because it has a good shelf life
- ◇ There is no major problem found in this inventory analysis

In the next section, we will discuss accounts payable.